of the Bhutanese government in developing its economy and safeguarding national independence'.[51]

The CIA concluded that 'the Bhutanese, in no position to alienate their big Indian brother, played down their new Chinese connection very lightly. The Indians, while disgruntled at the Bhutanese invitation to the Chinese, apparently believed that their hold on the small mountain kingdom—which includes responsibility for defence—was secure enough to let the incident pass.'[52]

In 1983, Chinese Foreign Minister Wu Xueqian and his Bhutanese counterpart Lyonpo Dawa Tsering met at the UN headquarters in New York for the first time. In April the following year, the first round of border talks between China and Bhutan was held in Beijing. The Chinese delegation was led by Vice-Foreign-Minister Gong Dafet and the Bhutanese by their ambassador to India, Dasho Om Pradhan. The two sides signed a joint communiqué on 20 April, 'expressing satisfaction with the first round of talks'.[53]

Since then, altogether 24 such talks have been held, but progress has been slow. China still claims parts of Bhutan and, in the 1990s, was carrying out road construction projects and logging in the disputed areas. Bhutan protested, but in December 1998, Bhutan and China signed an Agreement on Maintenance of Peace and Tranquillity in Bhutan-China Border Areas, which stated that China reaffirms that 'it completely respects the independence, sovereignty and territorial integrity of Bhutan'.[54]

The Chinese position on the border with Bhutan could be seen as an inadvertent recognition of the McMahon Line, as Bhutan is located south of the watershed at the crest of the Himalayas. But since the Sino-Bhutanese border has not been properly demarcated, the Chinese can always claim that the issue has not yet been settled. More importantly, one inconclusive round of border talks after another serves China's interest of improving its relations with Bhutan, which inevitably would be at India's expense. After the twenty-fourth round of talks in August 2016, the Chinese foreign ministry issued a statement saying that, 'although Bhutan and China have not established diplomatic relations yet, it will not hold back the mutually beneficial cooperation between the two countries. The Bhutanese side is willing to continue to deepen exchanges in such fields as